

Games' End

Throughout this book you played and discussed a series of different games. You saw how other people responded to the games and saw what other strategies were possible. You read the morals to quite a few stories.

This last chapter is a loose summary of what's come before. As you may expect, there is no cohesive Plan for Great Negotiations. It would be foolish to try to formulate such a plan—too many different Bargaining Games allow for too many different strategic possibilities. The choices span a tremendous variety and small subtleties in each game may alter what's effective. As you become a more adept bargainer, you limit the strategies you might use in any particular situation. At the same time, however, you expand your ability to diagnose different situations. When your intuition is correct, you will immediately focus on a small set of effective strategies and, if your intuition is very good, you'll choose the best strategy for (1) you, (2) the situation, and (3) the other people involved. As all three of these factors vary from one game to the next, a Grand Plan is close to, if not absolutely, impossible.

Each of the chapters presented several tangible directives that can make your intuition-strategy selection process more efficient. In addition, you should be prepared to negotiate a wide variety of Bargaining Games—many more than the situationally specific games that we have played and discussed. Having traversed the chapters, you should have a good idea of who you are as a bargainer,

what basic strategies work for you in what types of situations, and what variations are possible within the basic strategies. In other words, you should have an implicit strategic theory of You The Bargainer.

This last chapter, then, presents a list of prescriptions that roughly parallels the different chapters. The list also contains additional morals, some advice, and a few more observations. It doesn't really summarize the chapters; instead, it's designed to raise additional issues. The numbers preceding the prescriptions loosely relate to the material presented in the chapter of that number. At the end, I'll come back to the beginning for a final wrapup.

Here's the list:

1. *Know yourself.* During the course of the games you have had many opportunities to see how you would react to different bargaining situations. You have probably faced negotiations where your position was weak as well as where it was strong; where it paid to be competitive as well as where it was beneficial to be cooperative; where you could safely be trusting as well as where you needed to be suspicious. By reflecting back on how you behaved, you should have a pretty good picture of yourself as a negotiator.

You should not only have information about your reactions to each of the games, but you should also know how you reacted to other people and their reactions to you. Did you get angry when they were competitive? Were you tempted to doublecross them when they were cooperative? Did you fight off temptations or did you "take advantage of your opportunities?" Any number of issues may have been raised. Although no course could possibly provide you with a picture of yourself in all possible negotiation situations, the games should have given you a pretty good basis for making conclusions.

The counterpart to knowing yourself, of course, is to know the people you are bargaining with. This is not to say that you need to delve into their family history and get information about their life experiences. Instead, it suggests that by carefully considering the bargaining situation you should be able to put yourself into someone else's shoes. By mentally switching roles during a negotiation, you can begin to understand what kinds of responses the other person would like to hear from you. It's still not easy—role playing is not exactly like the real thing, especially when the negotiation is emotional, as most are. Thus, while it's still easy to acknowledge that you should put yourself in the other person's shoes, it remains very difficult to put this advice into effective practice.

2. *Try to be cooperative, problem solving, and/or exploratory*—especially when the chances that you will get hurt and the costs that you could incur are low. Most interactions are mixed-motive—they include elements of cooperation and competition. By searching for the advantages in a game's integrative potential, both you and the other people involved can benefit.

Hard, strong, competitive action may be successful in the short run (depending on the game). In the long run, however, repeated competitive action is rarely beneficial. In addition, reputations spread. Thus, before long, if the system is not

too large, the word will be out, and any gains that you might achieve from early competitive action, before the other party knows that you will never cooperate, will soon disappear.

The difficulty, of course, comes when the chances that you can get hurt and the costs you could incur are both high. These are just the situations where a high potential exists for nice guys to finish last. Slowing down the negotiations can help to give you an idea of the trustworthiness of the other people. You might also be able to fragment the first strategic moves so that smaller, less costly actions can come first.

When the Bargaining Game is structured like an Ultimatum Game with high stakes (remember the Pat and Chris story, where they had the chance to divide \$100,000?), these delaying tactics may be impossible. But this was quite a unique situation. Usually there's some way to temporize or fragment the problem so that cooperation, problem solving, and exploration can be pursued with little cost. Creativity and persuasion might be necessary as first steps. If the potential gains are sufficiently attractive, they're worth the effort.

3. *Identify prominent solutions whenever you can.* By doing so you can specify the game's outcome-oriented structure, whether it's a game from this book or a game from one of your everyday or exceptional interactions. Knowing the likely outcome of a negotiation allows you to formulate your strategy backwards, from the most likely final result back to the very first strategic moves. When you and/or the other person fall away from the pattern you expected, you can push things back on track if you know where you're going to finish. Even though Yogi Berra once said, "If you don't know where you're going, you might not get there," the converse is not always true. In other words, "If you know where you're going, you might get there." There's still a good chance that you won't get there, but you have a better chance if you know what you want in the beginning. Thus, the prominent solution of a game can be very handy information.

4. *Pay attention to nonverbals.* They may tell you enough about how someone is reacting to you that you will be able to paint a reflexive picture of yourself. By considering someone's reactions to you, you have a better chance to see how that person feels about you or your proposals. You also can gear your own reactions to what s/he's perceiving rather than simply relying on your own perceptions of yourself.

Nonverbals can also be illuminating when they conflict with what someone is saying. It may not mean s/he's lying—it may simply mean that s/he's unsure, uncomfortable, or too polite to tell you how s/he actually feels. At the same time, by keeping track of someone's verbal statements, you have a better chance of learning whether s/he's lying. Thus, the person who sold me the funky bag in the old city in Jerusalem didn't give away the fact that he was lying nonverbally. It was only his words, "It's very old," that clued me in. So words and nonwords all deserve attention. In the simplest sense, it pays to keep your eyes and ears open.

5. *Always expect some conflict, even in the best of interactions.* Different people

have different ideas about things, almost by definition. Identical twins may have identical preferences on many things, but the rest of us, however similar we might be, still will have different preferences on many issues. Thus, even the best of friends have differences of opinion. This doesn't diminish their friendship in any way. Instead, it simply means that there is always some work in relationships and interactions. Mutual problems will always arise. Conflict only becomes a real problem if you don't work for a solution.

Bargain with your friends. It's much more pleasant than bargaining with strangers or enemies! In fact, when we are interacting with friends we usually don't feel as if we're bargaining with them. Instead, we usually think of it as normal, everyday interaction. When we interact with friends, we can afford to be free with our information and our preferences. We don't need to formulate strategies. Instead, we simply have to open up and make sure all the important issues are raised and discussed—if they need to be raised and discussed in the first place. Even though conflict is inevitable, friends usually find that they're at odds over many fewer issues than strangers, especially given the amount of their interaction.

With strangers, bargaining is easier with an odd number of potential solutions or an odd number of players. Thus, a third party or a third alternative can really facilitate an interaction.

Research among strangers or in competitive situations indicates that the person who suggests that a third party be invited into a dialogue puts himself into a weaker negotiating position. By doing so, he indicates that he has additional flexibility and might be more willing to bend. Suggesting a third party mechanism, whether it's mediation, arbitration, or intravention, may therefore enter the strategic interplay, making it tougher to easily implement. Among friends, this is no longer a problem. Just as you don't give anything away by revealing your information or preferences, you also don't communicate as much dependence by thinking of a third party. Bargaining with friends, since it's neither called nor thought of as bargaining, is so much easier.

6. *Don't do anything now that you know will make you feel bad later.* This advice refers both to such ethical behavior as volunteering, and to unethical behavior, which we will discuss later. Prior to a choice, it's often instructive to thrust yourself into the near future and look back on the present. If the picture looks particularly bleak, reappraisal of your present choice might be in order.

In situations where a volunteer is necessary, someone will almost always volunteer—if the outcomes from volunteering are all positive and only one volunteer is needed. When the outcomes from volunteering include some negatives—for instance, work—the rate of volunteering may go way down.

The choice to volunteer is personal and sometimes emotionally charged. There's usually some outcome associated with the act of volunteering. You may find that your group has been successful because of your actions. You may also find that everyone in the group benefits, even though you did most of the work. Almost any volunteering choice presents this possibility. Knowing about it in advance can reduce some of the emotional baggage associated with your choice,

but ideas of inequity often endure. It's very difficult to forget a combination of your own magnanimity and everyone else's apparent greed. Volunteering for friends, of course, makes these negative feelings less severe. In similar choice situations, however, considering how you will feel after it's over—before you have even made the choice—gives you a better chance of making the right choice and avoiding possibly unnecessary regret.

7. *Forget sunk costs.* Ignoring the fact that sunk costs are sunk can lead to tremendous and sometimes disfunctional escalation. When you have irretrievably invested money, effort, and/or time, they cannot be redeemed or resurrected. They're gone.

Unfortunately, these investments don't disappear from our minds. When we introspect about our previous actions, we often identify personally with what we've done—and we let it affect our future actions. It's almost as if we're bound by our previous behavior and have little freedom to deny it or to act any differently.

Rationally, of course, sunk costs are sunk and we can do whatever we want without concern for what we've done before. Since most of us don't act this way very often, though, it's clear that our histories can affect us just as emotions do—by pushing us into actions that are rationally ineffective. Thus, just as it pays to be cool, calm, and not let our emotions determine our actions when we're bargaining, it's also important to act prospectively rather than retrospectively. Thinking about our past behavior is fine. Letting it control our current actions and future outcomes isn't so fine. As with emotions, however, following this advice is easier said than done.

8. *Get more information.* Release information if it's advantageous to you. Bargain hard in any event since the other person will, too. This is not to say that you have to be destructively competitive, only that you should push the situation, rather than the other bargainer, for all it is worth.

If you have information that's advantageous to the other person, you have two basic choices: (1) Ignore it, bargain hard, and do as well as you would have if you didn't have the information; or (2) Use the information to formulate a fair agreement and work to put it into effect. The first alternative is difficult. Only the most effective bargainers can ignore information that might affect their negotiation. The second alternative suffers from the possibility that the other bargainers may not understand that the agreement you are promoting is fair. Thus, they may bargain even harder because they assume that you are only bargaining in your own behalf.

In addition, if you're involved in repeated competitive negotiations with the same people, they may expect you to reveal your information if you establish a precedent for doing so. In subsequent interactions, you may have no information or you may know things that will hurt your cause badly. Thus, establishing precedents for information exchange can be quite disfunctional.

In a perfect world, information would be freely exchanged and the parties involved in a negotiation would problem-solve rather than negotiate. They would try to work out the best possible outcomes for everyone involved and would

understand the explicit outcome tradeoffs they might be forced to accept. In a mixed motive world, one of the motives is competition, which means that information may be valued and guarded and only revealed when it's advantageous to the revealer. If everyone understood that problem solving could provide far superior outcomes, and if everyone could trust one another to be cooperative, we'd be much closer to that perfect world.

9. *Be careful in auctions.* Know how much you value the object. Keep your emotions in check. When there are many bidders, discount your bid. The more uncertain you are about the object's actual value, the more you should discount your bid. All these recommendations are rational rather than psychological, and, again, easier said than done.

The time before an auction begins is not only valuable for inspecting the objects in the auction but also for inspecting your own feelings. Coolly evaluating an object and identifying the highest price you would pay for it, before the bidding begins, is an important, effective strategy. Once everyone else starts bidding, your evaluation of the object may change and you may bid more than you really want. After the bidding is finished and your emotions are less active, you will realize your error. But then, of course, it's usually too late.

On the one hand, it's rational to keep your emotions in check and not get carried away with the bidding. On the other, the emotions of bidding can be a real thrill—one that too much rationality might not give you the chance to experience. Thus, the thrill of bidding emotionally might also enter into your calculations when you are trying to identify your highest price. At the same time, the thrill of having paid a very low price for a very valuable object should give you greater impetus to act as rationally as you can. Thus, depending on your own inclinations, you might react to auctions quite differently. Your finances and the final price of the object might also have something to do with determining what you will do.

10. *Alternate.* When you're stuck in a deadlock, or you're not doing as well as you think you should, alternation might provide a solution. Indeed, if you can creatively use all the possible outcomes from an iterated negotiation, you may be able to construct a tremendously effective pattern of outcomes for everyone concerned—including yourself.

Taking what seems like a very low payoff once in a while might also benefit you by putting you in a position to do better in the long run. Thus, alternating between good and bad outcomes when their average gives you at least as much or more than you could otherwise expect makes long-term common sense. The difficulty comes with the short-term pride-swallowing associated with a payoff that, by itself, seems too low for someone like you. This is a case of trading pride for benefits. Some people have so much pride that they can't do it. If you are one of them, you must realize the benefits that you may potentially lose because you feel this way. Since the tradeoff is a personal choice, it's not the choice itself that presents a problem. The real problem comes from not recognizing that such a

choice exists. Thus, you may work hard to discover the possibility of an alternating scheme—that you will nevertheless reject if you can't overcome your pride.

11. *Propose an agreement that is fair—to the other person.* This recommendation is an extension of the “put yourself in the other person's shoes” directive, but it goes much farther. Here, you need to take the other person's point of view and essentially propose an agreement that she will usually accept. This may not provide you with your best possible outcome, but it does mean that you will almost certainly reach an agreement—which in many games is worlds better than no agreement at all. If the cost of no agreement is high and no precedent is set by taking less than you might otherwise receive, a short-term sacrifice can be truly effective, especially if you will be facing the same kind of interaction repeatedly. Accumulating many small payoffs can pay greater dividends than a few large ones.

At the same time, if precedents are involved you may have to protect your reputation and not settle for less. Thus, an art collector who finds that the sculpture she purchased six months ago was more expensive than a similar piece sold recently has every right to be angry with the artist. Indeed, artists are usually very careful about their price structures. Their prices can go up but they aren't usually allowed (by their dealers, patrons, or customers) to go down.

Precedents are also an issue if you're faced with an ultimatum. If your reaction puts you in a position to be taken advantage of over and over again, you won't want to make any sacrifices. On the other hand, an emotional reaction may leave you out in the cold. If Chris made Pat very angry by asking for \$80,000 of the \$100,000 they could divide, for instance, they might both get nothing and be not only much poorer than they would have been otherwise but also tremendously angry with each other. Thus, both precedents and emotions must be considered carefully in the face of an ultimatum.

12. *Beware of threats, whether you make or receive them.* If you make a threat and the other person responds in kind, you may find yourself in a Game of Chicken. If both of you are stubborn, if your threats are public, or if you're worried that your credibility will be shot if you recant, it may be very difficult for both or either of you to back down. As a result, both of you may end up getting the worst possible outcomes. As we know, Chicken is a dangerous game. It pays to try not to play. Making a threat or responding to a threat with another threat opens a door that you probably don't want to open. So, again, beware of threats. And whatever else you do, avoid playing the Game of Chicken with cars.

13. *Understand the underlying dynamics of a negotiation.* Apparent weakness may not be weakness at all; the same is true for apparent strength. By identifying the critical contingencies in a game, you can formulate strategies that are much more effective than those that are immediately apparent.

Time is of the essence here, as it is in many Bargaining Games. With enough opportunity for careful analysis, you have the chance to unlock the subtleties of a game and formulate an effective strategy to take advantage of them—for yourself and for the other parties in the game.

When you don't have time for analysis, you can still rely on experience with other games. Thus, it pays to play Bargaining Games, both those in this book and other types. Practicing negotiations seriously can and should make you a better negotiator.

14. *The key to effective group survival is the resolution of the inherent dilemma of group action.* If you choose to contribute, you will want everyone else to contribute too. Establishing a strong group identity seems to be an excellent way to encourage cooperation in groups. Whether you moralize, restrict group size, or increase the payoffs for mutual cooperation, increasing everyone's identification with the group is an excellent step toward group goal attainment. Pulling together so that we all can benefit is easier than contributing to someone else's cause.

Providing people with some knowledge about the dilemma they are facing not only convinces them that you understand their temptation but also provides them with greater justification for contributing. As we have seen, a little knowledge can be truly beneficial in prisoner's, asymmetric, and social dilemmas.

People are much more willing to cooperate when they know that others are going to cooperate as well. If you can increase the probability of some others contributing, you will also increase the probability of even more others contributing. Once things get rolling, there's nothing like a bandwagon of cooperators to encourage others to hop on and cooperate, too.

15. *Be a dictator.* If you can't commandeer quite that much power, be a veto player. Either position is much more fun than being on the opposite side of the power line. In other words, if someone must be in power, it might as well be you. Although power is not uniformly beneficial, having power is usually much preferred to not having it.

Once you have power, be benevolent, and you may be able to keep your power. By respecting those without power and not taking too much for yourself, you provide the weaker players with less foundation for revolt. If you should happen to have power over a tremendously large, unorganized group, a revolt may not be likely anyway. Nevertheless, safeguards can reduce even the lowest revolt probabilities and can, at the same time, promote a truly cooperative system.

If you do have power, you must recognize your limits. The underlying norms in the system may put some clamps on your free reign. But with veto power or more, those restrictions are usually quite minor in the grand scheme of things. Violate them, however, at your own serious peril.

Finally, even when you have power, you may want to personally urge others to cooperate, especially if you exist in a competitive environment. Trying to induce competitors to change their ways by changing the structure of the system may go unnoticed. Even when a person's benefits shrink as a result of their competitive acts, they may attribute their poor fortune to targets other than themselves. In addition, the potential benefits of cooperation may not be discovered if competitors must change their normal behavioral routine to attain them. Personal appeals can be very effective here, especially when they come from a powerful source.

16. *Negotiate.* Don't avoid it unless you find it tremendously distasteful. When

you pay great personal costs by bargaining, you may not be able to recover them from a negotiation. But if you don't, bargaining can create benefits for you and everyone involved. By working hard to take advantage of the integrative potential of an interaction, everyone can win. Effort helps. So when you bargain, bargain hard, while at the same time being as fair as you can be.

17. *Act ethically.* There are many ways that bargainers and people in general (actually the same thing) can act ethically. Even though you can almost always find social support for unethical behavior somewhere, it's very hard to get away from mirrors. Thus, even when you do get some support for inappropriate action, social consensus can rarely obliterate the doubts that inevitably accompany unethical behavior. Fair, ethical conduct is not just a personal issue, although drawing the lines to define what's fair and ethical is sometimes tremendously difficult. Indeed, after the act people sometimes redraw the lines. We can only hope that, if you do, you will redraw your lines more stringently.

This is the end of the list and almost the end of the book. Eighteen chapters and seventeen or so prescriptions. A few last words are in order. I started this book with some Rules of Thumb. I've incorporated some of them in this list of prescriptions, including *know yourself* and *differentiate among bargaining situations*. I have reiterated a few of the others, *doing as well as you can for yourself* and *staying cool, calm, and acting professionally*, for example, throughout the list. *Working within your own position* was initially geared toward dealing with power, but it could be expanded to emphasize how important knowing yourself really is. *Avoiding blindly competitive urges, acting strategically, and learning from what's happened* have all been evoked throughout the list and the chapters. In the end, the rules and prescriptions all boil down to three pieces of knowledge:

KNOW YOURSELF

KNOW THE OTHER(S)

KNOW THE SITUATION

When you know all three, and you know what to do with this knowledge, you can negotiate extremely well. This sounds very easy. The paradox of bargaining is that all this knowing is very difficult to achieve and to use effectively.

This, then, is Games' End. It's not an endgame, which in chess indicates the final set of moves the players must make to finish one or the other off. It's not land's end, those many places that jut off into a body of water. But it is the end of this book. Whether it's the beginning of better negotiations is to a great extent up to you.